

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

FORMUKLEEN, INC., *Complainant*

v.

TOP SHIPPING SYSTEMS, CORP., *Respondent*.

DOCKET NO. 25-08

Served: July 27, 2026

ORDER OF: Richard AMBROW, *Administrative Law Judge*.

ORDER REGARDING COMPLAINANT’S MOTIONS OF JULY 15, 2026

On July 15, 2026, Complainant filed Complainant’s Combined Motion for Leave to Exceed Page Limit and Amended Renewed Motion to Enforce the April 1, 2026 Order as to Requests for Production Nos. 4 and 7, for Sanctions Under 46 C.F.R. § 502.150(b), and for Reopening and Extension of Discovery (the “July 15 Motions”). The July 15 Motions contain three separate motions: 1) a Motion for Leave to Exceed Page Limits (“Motion to Exceed”); 2) a Renewed Motion to Enforce the April 1, 2026 Order (“RME”), and 3) Motion for Reopening and Extension of Discovery (“MRED”). Respondent filed an opposition on July 22, 2026.

The Motion to Exceed is **GRANTED**.

The MRED is **DENIED**. On July 14, 2026, I issued an Order Denying Complainant’s Motion to Extend Discovery and Remaining Deadlines (the “July 14 Order”). In the July 14 Order, I noted that Complainant had sufficient opportunity to develop the record in this matter. Despite being a straightforward case, discovery has been going on for over a year, in part, due to Complainant’s lack of diligence – such as doing nothing to advance discovery for months in fall 2025, and not timely requesting subpoenas for third-party documents. (*See generally* July 14 Order). A motion to extend deadlines can be granted for good cause shown. (46 C.F.R. § 502.102(a)). Complainant’s lack of diligence, as well as lack of cooperation – also discussed in the July 14 Order – makes it difficult for Complainant to show good cause. I also noted that Complainant’s request to extend discovery was premised on Respondent’s discovery misconduct, which Complainant had not yet proven. (July 14 Order, at 6-7). As discussed below, I find that Complainant still has not carried its burden of showing discovery misconduct by Respondent. (5 U.S.C. § 556(d) (“Except as otherwise provided by statute, the proponent of a rule or order has the burden of proof.”); *see also* 46 C.F.R. § 502.203).

The RME is **DENIED**. On April 1, 2026, I issued an Order Granting in Part and Denying in Part Respondent’s Motion to Dismiss, and Granting in Part and Denying in Part Complainant’s Motion to Compel, and Requiring Respondent to Provide a Declaration (the

“April 1 Order”). Of relevance to the present order, I granted the MTC in relation to RFPs 4 and 7. Those RFPs provide:

4. All TSS communications with parties other than FormuKleen relating to all FormuKleen shipments managed by TSS, including the subject shipments.

7. All records of duties, drayage, warehousing, storage, port-related, or other charges paid or advanced by TSS on behalf of FormuKleen for any shipment in addition to the subject shipments.

(April 1 Order, at 10).

Although Respondent objected to these two RFPs as being overly broad, I concluded, based on Commission guidance, that documents that show how Complainant and Respondent interacted in the past, and how Respondent interacted with third parties, can be relevant. (April 1 Order, at 11). I also ordered Respondent to provide a declaration describing its efforts to search for and produce documents. (April 1 Order, at 10, 13). On April 29, 2026, Respondent submitted a declaration in response to the April 1 Order describing efforts to comply with its discovery obligations. (*See* Declaration of Ricky Villena (‘Villena Decl.’)). Respondent has also apparently produced documents. (*See, e.g.*, Respondent’s Notice of Continued Production and Supplemental Compliance with April 1, 2026 Order (“Notice of Continued Production”)).

As an initial matter, Complainant complains in the RME that it is “backward” that Complainant is being required to prove that Respondent’s searches and productions were deficient despite the April 1 Order compelling productions regarding RFP Nos. 4 and 7. (July 15 Motions, at 4). As noted above, however, the burden of proof is on the proponent of an order. (5 U.S.C. § 556(d)). To the extent Complainant asserts Respondent failed to comply with the April 1 Order, the burden is on Complainant to so demonstrate. Therefore, it is not “backwards” or unfair to make Complainant prove its assertion – that is what the law requires.

Complainant’s primary evidence of Respondent’s failure to comply with the April 1 Order is deposition testimony from Mr. Eddy Del Monte, who was an Import Coordinator for Respondent. (*See* July 15 Motions, Ex. D). Complainant argues that Mr. Del Monte’s deposition testimony establishes that Respondent failed to search Mr. Del Monte’s email for relevant communications. (*See* July 15 Motions, at 2-3, 12-13). He was asked: “So, nobody at TSS went through your emails in order to collect them to give them to FormuKleen, correct?” To which Mr. Del Monte responded: “Yes.” (July 15 Motions, Ex. A, 87:4 – 87:6). Mr. Del Monte gave similar testimony in other places. (*See, e.g.*, July 15 Motions, Ex. A, 88:6 – 88:11 (“A. No, nobody searched, nobody searched my emails to see what I did.”; *see also* Ex. A, 88:17 – 88:19 (“Everything was just reviewed and nothing, nobody searched anything.”)). Complainant argues that this testimony contradicts the Villena Declaration, wherein Respondent’s vice president indicated that Respondent’s emails were searched using terms like container numbers, bill of lading numbers, and Complainant’s name. (July 15 Motions, at 13-15; *see also* Villena Decl., at 3-4).

This evidence is not persuasive. It appears that there was a miscommunication between Complainant’s representative and Mr. Del Monte. The witness apparently understood the term

“search” to have a criminal connotation, when he said: “Performing a search makes it look like some kind of criminal action.” (July 15 Motions, Ex. A, 88:22 – 88:23). He also apparently understood the term “search” to be invasive:

Q. Were your emails searched, I want to be very clear, were your emails searched for third-party communications --

A. And see what I did --

Q. -- In regard to this case?

A. So if somebody --

Q. It's a yes or, it's a yes or a no, Mr. Del Monte.

A. You're asking me if somebody went into my email and like snooped around to my emails to see what was going on.

Q. Did anybody at TSS look through your emails and search them for third-party communications in relation to this case, yes or no? Is it yes or is it no. . . .

THE WITNESS: She's asking me if somebody, if somebody was digging around my email, that no, the answer is nobody's digging around. The only people that are, that are, that are, pertinent to the information that was going on are the ones you already know of. Nobody else. Nobody else knows about what's going on.

(July 15 Motions, Ex. A, at 86:6 – 87:1). In short, Complainant’s representative and Mr. Del Monte apparently did not understand the word “search” in the same way: the former understood it as a review for responsive documents; the latter apparently understood “search” as a type of invasive investigation. Without clarification that there was a common understanding of the meaning of “search,” Mr. Del Monte’s testimony about any “search” is not persuasive.

In the course of his testimony about “searches” of his email, Mr. Del Monte testified that “everything was reviewed[.]” (July 13 Motions, at 3, 13; *see also* July 13 Motions, Ex. A, at 88:17 – 88:19). It is unclear what Mr. Del Monte meant by “reviewed,” though it suggests that someone looked at emails or database entries. This is consistent with the Villena Declaration. In sum, in light of Mr. Del Monte’s testimony that “everything was reviewed,” his apparent understanding of the word “search,” and the Villena Declaration’s sworn assertion that searches were performed, I am unable to find that Complainant carried its burden of showing that Mr. Del Monte’s testimony establishes that Respondent failed to search Mr. Del Monte’s emails.

Complainant asserts that Mr. Del Monte’s deposition testimony shows that his text messages, WhatsApp messages, or the Magaya database were not searched. (July 15 Motions, at 9, 13). Regarding text messages and WhatsApp messages, Mr. Del Monte testified that he did not use either his personal cell phone or WhatsApp for his work, and that he did not have a work-issued cellphone. (July 15 Motions, Ex. A, 16:2 – 16:12). Therefore, I find that there was no need to search Mr. Del Monte’s text messages or WhatsApp messages. As for the Magaya database, the Villena Declaration provides a sworn statement that the Magaya database was

searched, and Complainant's July 15 Motions cite no evidence to the contrary. (*See, e.g.*, July 15 Motions, at 9, 13-15).

Complainant argues that the testimony of Mr. Isaac Sarmiento also supports its RME. In particular, Complainant asserts that Mr. Sarmiento authenticated an email from November 14, 2024 (the "November 14 Email"), that Respondent did not produce in full, along with related correspondence. (July 15 Motions, at 17-18). The November 14 Email is described as asserting that Respondent was holding \$1 million of inventory hostage over a \$49,000 debt. (*See id*; *see also* July 15 Motions, Ex. B, 48:4 – 48:9). This evidence is not persuasive. It appears that this November 14 Email was not within the scope of either RFP No. 4 or No. 7. Both RFP Nos. 4 and 7 were limited to seeking documents related to the containers at issue.¹ (*See generally* June 5, 2026, Order Following Status Conference ("June 5 Order")). The containers at issue in this case were allegedly held by Respondent in February 2025 and April 2025. (Complaint, at 6-9). The earlier of the two containers, CHSU4047424, was not even on the vessel by November 14, 2024. (*See* Respondent's Resp. to the Mot. for Summ. J., Ex. B). Therefore, it appears more likely than not that this November 14 Email is related to a different shipment altogether, and therefore was not within the scope of either RFP No. 4 or 7. Likewise, any other emails related to the November 14 Email appear more likely than not to be outside the scope of either RFP No. 4 or 7.

Complainant asserts repeatedly that while there is ample testimony that third-party documents and communications exist, such as communications related to delivery orders or third-party invoices, Respondent did not search for or produce third-party documents. (*See, e.g.*, July 15 Motions, at 10, 18-20). Complainant has likewise pointed out in the past that the Villena Declaration shows that Respondent searched the names of two third parties, but there were several other third parties involved in the two subject transactions whose names were not searched. (*See, e.g.*, Order Regarding Complainant's Motion of May 9, 2026, and Addressing Deferred Ruling Regarding Complainant's Motion for Reasonable Discovery (the "May 21 Order"), at 5, 7).² I appreciate this point, but it is not persuasive. The Villena Declaration shows

¹ There was miscommunication about how RFP Nos. 4 and 7 were to be understood. By their terms, RFP Nos. 4 and 7 requested documents related to "any" and "all" FormuKleen shipments that Respondent participated in. (*See* RFP Nos. 4 and 7). Indeed, Complainant's Complaint alleged that a "consistent course of dealing" between the parties helped establish that Respondent acted as an ocean transportation intermediary. (Complaint, at 3). Accordingly, in light of the allegations and Commission guidance, I concluded that all historic interactions between the parties were relevant, and ordered production of third-party communications. (April 1 Order, at 11). Respondent apparently did not appreciate the full scope of RFP Nos. 4 and 7, as well as my April 1 Order, until late May 2026. (*See generally* Notice of Continued Production). Respondent asked to narrow the scope of my April 1 Order. (*See generally* Respondent's Motion for Clarification, Protective Relief, and Guidance Regarding Scope of Discovery). Complainant's representative clarified and narrowed the scope of RFP Nos. 4 and 7, and limited them to documents related to the two containers at issue. (*See generally* June 5 Order).

² Complainant points out that in the May 21 Order, I commented that Respondent's Notice of Continued Production, where Respondent said its searches were limited to documents related to the two containers at issue, all but admitted its searches and production were deficient.

that search terms Respondent used included container numbers, invoice numbers, bill of lading numbers, “FormuKleen,” and other terms. (*See Villena Decl.*, at 3-4). It is difficult to imagine there being relevant third-party communications that would be captured by a search for “Qichen” (who issued one of the house bills of lading) that were not otherwise captured. Moreover, aside from the experience of Complainant’s representative (July 15 Motions, Ex. A, at 19:22 (“I, I spent 20 years shipping ocean freight”)), and Complainant’s vigorous, repeated assertions, it is unclear that material documents may exist that were not yet produced.

Returning to the central inquiry in this case, whether Respondent acted as an NVOCC in relation to the two containers at issue, I concluded eleven months ago that Respondent provided inland transportation, warehousing, and customs clearance, as well as advanced some fees. (*See Order Denying Motion for Summary Judgment (“August 28 Order”),* at 6-7)). To the extent Respondent failed to produce anything responsive to RFP Nos. 4 and 7, it appears that most, if not all of it, would only lend further support regarding points Complainant already won. (*See, e.g.,* July 15 Motions, 2-3, 15 (asserting that deposition testimony established that Respondent assisted with customs clearance, was involved with inland transportation and warehousing, and advanced some fees)).³

What is not known currently is if Respondent “assume[d] responsibility for the transportation from the port or point of origin to the port or point of destination[.]” (46 U.S.C. § 40102(7)(ii); *see also Ali-Grimaldi v. UTrade Logistics, LLC*, Dkt. No. 2040(i), 2026 WL 1190416, at *14 (SCO Apr. 22, 2026) (notice not to review (FMC May 26, 2026)) (“The record lacks any evidence showing that Respondent assumed responsibility for the transportation ‘from the port or point of receipt to the port or point of destination.’”)). Complainant alleged that it engaged Respondent to act as a “freight forwarder and customs broker. Although the parties never executed a written contract, a consistent course of dealing developed in which TSS coordinated transportation and logistics services on FormuKleen’s behalf,” and FormuKleen paid the invoices. (Complaint, at 3, ¶ 4). Complainant asserts that documents showing communications with third parties “would establish the role TSS actually performed in the transportation chain[.]” (July 15 Motions, at 19). But again, it appears likely that substantially all material third-party documents⁴ would have been captured by the searches described in the Villena Declaration.

(*See* July 15 Motions, at 6; May 21 Order, at 8; Notice of Continued Production, at 1-2). My comment should be understood against the backdrop a broad understanding of RFP Nos. 4 and 7, as discussed in n.1 above.

³ Complainant asserts that deposition testimony provided evidence that Respondent advertises itself out as an NVOCC. (July 15 Motions, Ex. A, at 28:15 – 28:19). In light of the fact that Respondent is also a licensed NVOCC, it appears unlikely that Respondent will successfully be able to deny that it held itself out as an NVOCC.

⁴ Despite being aware of the potential relevance of third-party documents for several months, Complainant did not request third-party document subpoenas in a timely manner. (*See* July 14 Order, at 5). Shortly after I denied the requests for third-party document subpoenas, Complainant moved to extend discovery. (*See id.*, at 5). Complainant now asks again to reopen

In sum, I find that Complainant has not met its burden of showing that Respondent's productions were incomplete, and that if any responsive documents were not produced, it is unclear that they would materially advance the matter for Complainant.

Accordingly, the Motion to Exceed is **GRANTED**. The MRED is **DENIED**. The RME is also **DENIED**.⁵

Briefing in this matter will proceed pursuant to the June 12, 2026, Order Extending Deadlines.

Richard C.
Ambrow Jr -S
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Richard Ambrow
Administrative Law Judge

and extend discovery. (*See* MRED). Complainant cannot seek to extend discovery at this late date due to its own lack of diligence, especially considering that Complainant repeatedly opposed reasonable extension requests by Respondent, consistently asserting that the requested extension would cause prejudice. (*See* July 30, 2025, Order Denying Without Prejudice Motion for Extension of Time to Respond to Claimant's Motion for Summary Judgment; July 31, 2025, Order Granting Respondent's Motion for Reconsideration; March 17, 2026, Order Granting Motions for Leave to Exceed Page Limits and Motion for Extension of Response Deadline; April 13, 2026, Order Granting Respondent's Motion for Extension of Time; April 14, 2026, Order Denying Complainant's Motion for Reconsideration of Order Granting Respondent's Motion for Extension of Time).

⁵ The July 15 Motions and Respondent's opposition make arguments regarding an interpreter request by Respondent. The matter has not been fully developed as the issue was initially raised in Respondent's Opposition to Complainant's Motion to Extend Discovery and Remaining Deadlines. In general, however, an interpreter must be qualified and must take an oath or affirmation to make a true translation. (*See* FED. R. EVID. 604; *see also* FED. R. CIV. P. 43(d)).